OTHER TYPES OF AMORTIZATION OF CAPITAL ASSETS

Leaseholds and Leasehold Improvements. The ordinary lease involves no capital investment by the lessee, who merely undertakes to pay rent in return for the use of property. But if the rental payments are considerably less than the use of the property is worth, and if the arrangement has a considerable period to run, the leasehold—as it is called—may have a substantial value. Oil lands are leased on a standard basis for a royalty amounting usually to one-eighth of the production. Leaseholds on which a substantial output is developed or assured are worth a large bonus above the rental payments involved, and they are bought and sold in the same way as the fee ownership of the property. Similar bonuses are paid—in boom times usually—for long-term leases on urban real estate.

If a company has paid money for a leasehold, the cost is regarded as a capital investment that should be written off during the life of the lease. (In the case of an oil lease the write-off is made against each barrel produced, rather than on a time basis, since the output declines rapidly from the initial flush figure.) These charges are in reality part of the rent paid for the property and must obviously be included in current operating expense.

When structures are built on leased property or alterations made or fixtures installed, they are designated as "leasehold improvements." Hence their cost must be written down to nothing during the life of the lease, since they belong to the landlord when the lease expires. The annual charge-off for this purpose is called "amortization of leasehold improvements." It partakes to some extent of the nature of a depreciation charge. Chain-store enterprises frequently invest considerable sums in such leasehold improvements, and consequently the annual write-offs thereof may be of appreciable importance in their income accounts.

Example: The December 31, 1938, balance sheet of F.W. Woolworth Company carried "Buildings Owned and Improvements on Leased Premises to be amortized over periods of leases" at a net valuation of $46,717,000. The charge against 1938 earnings for amortization of these buildings and leasehold improvements amounted to $3,925,283.

Since these items belong to the amortization group, they lend themselves to the same kind of arbitrary treatment as do the others. By making the annual charge against surplus instead of income or by writing down the entire capital investment to $1 and thus eliminating the annual charge entirely, a corporation can exclude these items of operating cost